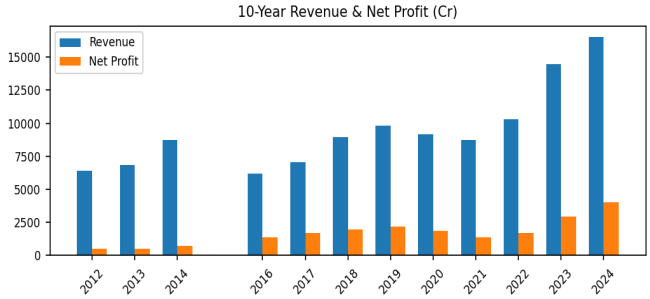
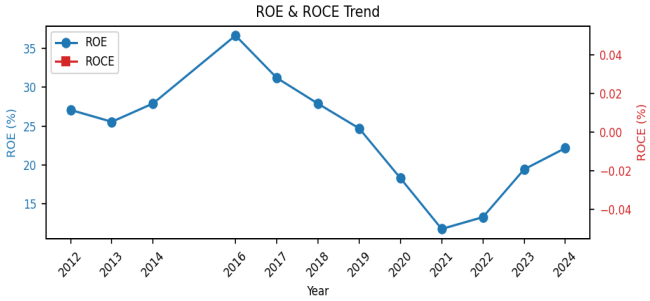
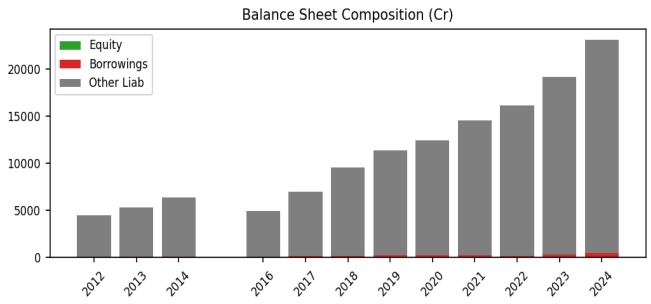
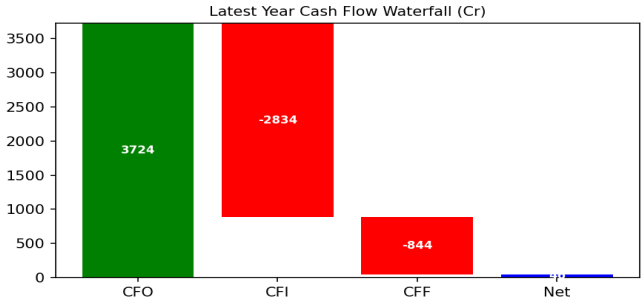
Eicher Motors Ltd (EICHERMOT)

Revenue	Net Profit	Total Equity
■1.7T	■4001Cr	■27Cr
ROE	**ROCE**	**D/E**
22.2%	-	0.02x









Pros	Cons
• Strong free cash flow generation over 5 years signals healthy business fundamentals (Conf: 95%) • Operating profit margin above 25% indicates strong pricing power and cost discipline (Conf: 80%) • Very high interest coverage ratio reflects negligible financial stress from debt servicing (Conf: 85%) • Consistent dividend yield above 2% backed by positive free cash flow (Conf: 80%) • Return on equity improving for 3 consecutive years shows strengthening business quality (Conf: 75%) • Revenue growing slower than profits shows improving operating leverage and scale benefits (Conf: 70%)	• Subject to normal macroeconomic and sectoral risks (Conf: 61%)

Capital Allocation Pattern: Reinvestor